



4,000 fraudsters arrested

Thanks to new driver's licence facial recognition technology, 4,000 people have been arrested in NY for identity theft. <http://dgit.in/identityNY>



Razer Wolverine Ultimate

Razer's new controller features a swappable thumbstick and Chroma RGB lighting priced at \$159.99. <http://dgit.in/RazerWolve>

service to work. Maybe you signed up for Netflix just to binge-watch Stranger Things, maybe you subscribed to Amazon Prime for the free One-day deliveries, but overall, there are a number of broad reasons because of which subscription models do well. For companies, it is pretty obvious that a continuous source of revenue over the years is more sustainable than one-time purchases in the long run. But what we are looking at are the reasons behind consumers going for subscription models.

Convenience

First of all, this is not another way to call millennials lazy. The current generation of smartphone toting consumers is used to an on-demand economy, where things are served instantly and with minimal effort. In such an environment, choice itself is a task. These facilities have developed a customer that values efficiency and ease of use above all else. Hence, regular, frictionless, automated deliveries, recurring payments that do not require intervention, constant access to their favourite content – these are all no-brainers when it comes to a millennial's purchasing habits.

And this fact is not lost on on-demand companies either. Ola's Share Pass is an interesting example that reflects the willingness of a modern customer to subscribe to anything related to something they consume regularly – even if it is already available as an on-demand model. The pass allows them to avail shared cab rides at discounted rates, and mostly builds a sense of loyalty to the service provider itself – in this case, OlaCabs. This is leading to a gradual merge of the on-demand and subscription models.

Indulgence

Right now, the consumer is hooked onto services like never before. Businesses have as much data as they need from a consumer – be it their browsing habits, wishlists, TV show preferences, social media likes and almost everything else they are likely

INDIAN SUBSCRIPTION MODELS

India has its own subscription model companies and services around them. Here are a few interesting ones:

- **Lets Shave** – Shaving and grooming products for men and women.
- **My Envy Box, Fab Bag** – Cosmetics
- **Recurrex** – Subscription as a Service provider that helps you shift to or start off a subscription model business.
- **Chotuchaiwala.com, Teabox** – Tea as a subscription
- **Flintobox** – Educational activity boxes for kids
- **LifCare** – Subscription pharmacy

to spend money on. And this enables them to create offerings customised to cater to each customer's preference – in short, indulge them. In fact, most of the growing subscription boxes pander to the idea of an individual wanting to pamper themselves conveniently. And it's not just limited to actual products.

Netflix wasn't always into releasing entire seasons of shows on their platform in one go. But as they saw customers increasingly going for 'binge-watching' shows in one session, they modified their offering to encourage this habit. This, and the customised recommendations they already provided based on your viewing habits. Better than going to the store and renting a DVD for yourself each time, right? In fact, most content platforms in the subscription business rely on data generated from you to pander you.

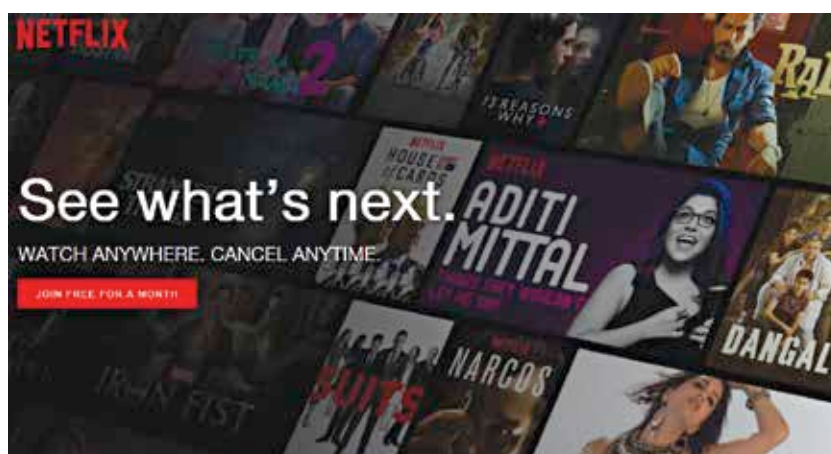
So why does this work as a factor? Instead of going for a huge shopping

spree in one-go, you are indulging yourself every month for smaller amounts. Same cost, less guilt.

Access 1 – Ownership 0

If there is one thing the modern customer is clearly against, it is owning a ton of stuff. From our documents to our content, we are moving away from the need to have local instances or physical goods when we own something. When it comes to digital content, technology has definitely played a significant role in this with better and more accessible mobile internet and public WiFi. If you told a person in the early 2000s that they will not have a single local copy of any of the albums they have purchased over the years, they will probably call you crazy. Today, it's the norm.

As Zuora CEO, Tien Tzuo, the person who coined the term 'subscription economy', puts it, it's all about "throwing ownership to the curb". And there are reasons behind this. Take GE for



Subscription service providers also bank on a low entry barrier, such as a free trial month